Country Atlas 2026 : Under the surface

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Despite a year marked by intense trade tensions and multiple layers of risk – political, geopolitical and fiscal – global country risk improved in 2025, underscoring the fiscal, monetary and trade-related coping mechanisms that tend to emerge in times of high uncertainty. Our quarterly assessments resulted in the upgrade of 36 economies, including Argentina, Ecuador, Hungary, Italy, Spain, Türkiye and Vietnam, while 14 countries were downgraded, among them Belgium, France, Senegal and the US.

In 2025, the upgrades were driven primarily by stronger macroeconomic fundamentals, supported by more accommodative fiscal and monetary policies. In several emerging markets, better financing conditions, appreciating local currencies and higher commodity prices allowed for a rollback of transfer and convertibility restrictions, a key dimension of political risk. Among high-income economies, improved political stability, disinflation and stronger trade performance reinforced resilience across Europe (notably Germany, Greece, Italy and Spain) and the Asia-Pacific region (including South Korea and Vietnam). Gains reflect lower financing risks and strong trade performance in Asia-Pacific, better macroeconomic fundamentals in Central and Eastern Europe and resilient domestic demand in Latin America, alongside reduced foreign-exchange risks (see Figure 1). Sub-rating improvements are also evident in Africa, although these are not yet sufficient to improve the overall country rating – a trend that we also see in some of the region's major economies, such as Egypt and Nigeria. On the other hand, APAC economies benefited from a more stable overall situation, which led to a greater number of overall rating upgrades than sub-rating improvements.

Trends in non-payment risk remain mixed over the medium run. Global short-term country risk has improved to a Medium level in 2025 (2 out of 4), up from Sensitive (3 out of 4) before the pandemic, while the longer-term global rating remains substantially unchanged at B (on a scale from AA to D). This improvement reflects more accommodative policies that have prioritized demand recovery in many countries, along with persistent structural vulnerabilities and the challenges of implementing long-term reforms in an increasingly uncertain environment. Improvements compared to the pre-pandemic period emerge mostly from the macroeconomic, financial and political dimensions (see Figure 2), while an incomplete recovery is evident under business environment (i.e., governance, rule of law, environmental and social indicators) and commercial risk, mostly due to reduced market access and higher insolvency levels.

Broad improvements in the past 12 months mask persistent and, in some cases, rising medium-term risks for corporates. For example, a deterioration in the macroeconomic environment was visible in seven markets, compared with 18 that improved. However, the former include Belgium, Brazil, France and the US, which together account for about one-

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corporate insolvencies, with defaults expected to reach levels 24% above the pre-pandemic average by 2026. Businesses are also facing heightened regulatory uncertainty, supply-chain disruptions and higher costs linked to trade diversification. Geopolitical tensions, trade disputes and sanctions further amplify uncertainty, particularly in regions exposed to strategic rivalries and trade rerouting.

The 2026 Country Risk Atlas highlights an increasingly uneven landscape in which resilience and fragility coexist. While many economies have strengthened their shock-absorption capacity, systemic vulnerabilities are becoming more concentrated in a smaller number of influential markets. For corporates and investors, this underlines the need for granular, forward-looking risk management that goes beyond headline ratings. Continuous monitoring of transfer and convertibility conditions, fiscal trajectories and trade exposures will be essential to anticipate turning points. By combining quarterly updates with detailed sub-ratings, our framework supports informed decision-making, enabling businesses to allocate capital more selectively, protect cash flows and identify pockets of sustainable opportunity amid persistent uncertainty.

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